



National  
Qualifications  
2023

---

# **2023 Accounting Higher Finalised Marking Instructions**

© Scottish Qualifications Authority 2023

These marking instructions have been prepared by examination teams for use by SQA appointed markers when marking external course assessments.

The information in this document may be reproduced in support of SQA qualifications only on a non-commercial basis. If it is reproduced, SQA must be clearly acknowledged as the source. If it is to be reproduced for any other purpose, written permission must be obtained from [permissions@sqa.org.uk](mailto:permissions@sqa.org.uk).



## General marking principles for Higher Accounting

*Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.*

- (a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- (b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- (c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.
- (d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.
- (e) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate

- (f) For **identify** questions, candidates must name a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant identification

- (g) For **justify** questions, candidates must give good reasons to support suggestions or explain the reason(s) for or against the issue raised in the question. A development point can be given.

Up to the total mark allocation for this question

- award **1 mark** for each accurate justification

- (h) For **outline** questions, candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

- (i) For **state** questions, candidates must list a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant item or fact

1. (a) (i) Income Statement of Barnaby and Collins for the year ended 31 December Year 8 ✓

|                                                       | £000   |  | £000  |
|-------------------------------------------------------|--------|--|-------|
| <b>Gross Profit</b>                                   |        |  | 142 ✓ |
| <b>Less Expenses</b>                                  |        |  |       |
| Rates                                                 | 25 ✓   |  |       |
| Promotion Expenses                                    | 17 (1) |  |       |
| Loss on Sale of Equipment                             | 4 (2)  |  |       |
| Depreciation of Equipment (160-40) (1) x 20% (1)      | 24     |  |       |
| Depreciation of Delivery Vans                         | 11 (1) |  |       |
| Interest on Loan - Barnaby (40*5%/2)                  | 1 (1)  |  | 82    |
|                                                       |        |  | 60    |
| <b>Add Other Income</b>                               |        |  |       |
| Decrease in Provision for Doubtful Debts              | 6 (1)  |  |       |
| Discount (Net)                                        | 10 (1) |  | 16    |
| <b>Profit for the Year</b> ✓                          |        |  | 76    |
| <b>Add Interest on Drawings:</b>                      |        |  |       |
| Barnaby (15%*20)                                      | 3 ✓    |  |       |
| Collins (15%*40)                                      | 6 (1)  |  | 9     |
|                                                       |        |  | 85    |
| <b>Less Interest on Equity:</b>                       |        |  |       |
| Barnaby (120 x 10%)                                   | 12 ✓   |  |       |
| Collins (360 x 10%)                                   | 36 (1) |  |       |
| Less Salary - Barnaby                                 | 29 (1) |  | 77    |
| <b>RESIDUAL PROFIT</b>                                |        |  | 8     |
| <b>Share of Residual Profit:</b>                      |        |  |       |
| Barnaby (120/480) (1/4)                               | 2 ✓    |  |       |
| Collins (360/480) (3/4)                               | 6 (1)  |  | 8     |
| <b>Headings, labels, arithmetic and no extraneous</b> | (1)    |  |       |

MAX MARK 14

**ADDITIONAL GUIDANCE**

1 mark for Gross Profit and depreciation of Delivery Vans

1 mark for Rates and Promotion Expenses

Loss on Sale of Equipment:

Cost 40,000

Depn to date (40,000 x 20% x 2) 16,000

24,000

Amount received from sale 20,000

Loss on sale 4,000 (2 marks all or nothing)

If Interest on Drawings, Interest on Equity or Salary not treated correctly, do not award marks

|             |                           |                      |       |        |         |    |                           |                      |       |        |         |    |            |
|-------------|---------------------------|----------------------|-------|--------|---------|----|---------------------------|----------------------|-------|--------|---------|----|------------|
| 1. (a) (ii) | Current Account - Barnaby |                      |       |        |         | ✓  | Current Account - Collins |                      |       |        |         | ✓  | MAX MARK 6 |
|             | Date                      | Details              | Debit | Credit | Balance | ✓  | Date                      | Details              | Debit | Credit | Balance | ✓  |            |
|             |                           |                      | £     | £      | £       |    |                           |                      | £     | £      | £       |    |            |
|             | 1 January                 | Opening balance      |       |        | 15      | Dr | 1 January                 | Opening balance      |       |        | 20      | Cr |            |
|             | 31 December               | Interest on Equity   |       | 12     | 3       | Dr | 31 December               | Interest on Equity   |       | 36     | 56      | Cr |            |
|             | 31 December               | Share of Profit      |       | 2      | 1       | Dr | 31 December               | Share of Profit      |       | 6      | 62      | Cr |            |
|             | 31 December               | Salary               |       | 29     | 28      | Cr | 31 December               | Interest on Loan     |       | 1      | 63      | Cr |            |
|             | 31 December               | Drawings             | 20    |        | 8       | Cr | 31 December               | Drawings             | 40    |        | 23      | Cr | (1)        |
|             | 31 December               | Interest on Drawings | 3     |        | 5       | Cr | 31 December               | Interest on Drawings | 6     |        | 17      | Cr | (1)        |

### ADDITIONAL GUIDANCE

1 mark for headings and opening balances

1 mark for both partners' entries

1 mark for Salary and Interest on Loan

If running balance incorrect, do not award mark for headings and opening balance or next available mark

If not shown as a ledger account, do not award headings and opening balance mark or next available mark

If Current Account shown as **complete** reversal, award marks gained and divide by 2 (max 3)

If headed as **Current Account**, but includes an entry for Equity, do not award Interest on Equity mark

If headed as **Equity Account** and Equity shown as opening balance, award marks gained and divide by 2 (max 3)

1. (a) (iii)

| Statement of Financial Position of Barnaby and Collins as at 31 December Year 8 ✓ |         |  |          |                |
|-----------------------------------------------------------------------------------|---------|--|----------|----------------|
|                                                                                   | At Cost |  | Agg Depn | Net Book Value |
| <u>Non-Current Assets</u> ✓                                                       | £000    |  | £000     | £000           |
| Property                                                                          | 310     |  | -30      | 340 (1)        |
| Equipment                                                                         | 120 (1) |  | 32 (1)   | 88             |
| Delivery Vans                                                                     | 80      |  | 47       | 33 (1)         |
|                                                                                   | 510     |  | 49       | 461            |
| Investments                                                                       |         |  |          | 33 (1)         |
|                                                                                   |         |  |          | 494            |
| <u>Current Assets</u> ✓                                                           |         |  |          |                |
| Closing Inventory                                                                 |         |  | 20 ✓     |                |
| Trade Receivables                                                                 | 80 ✓    |  |          |                |
| Less Provision for Doubtful Debts                                                 | 8 ✓     |  | 72 (1)   |                |
| Cash and Cash Equivalents (61 (1)+20 (1))                                         |         |  | 81       |                |
|                                                                                   |         |  | 173      |                |
| <u>Current Liabilities</u> ✓                                                      |         |  |          |                |
| Trade Payables                                                                    | 89 ✓    |  |          |                |
| VAT                                                                               | 6 (1)   |  | 95       |                |
| WORKING EQUITY                                                                    |         |  |          | 78             |
| NET ASSETS EMPLOYED                                                               |         |  |          | 572            |
| <u>Non-Current Liabilities</u> ✓                                                  |         |  |          |                |
| Loan - Collins                                                                    |         |  |          | 40 (1)         |
| NET ASSETS                                                                        |         |  |          | 532            |
| <u>EQUITY:</u>                                                                    |         |  |          |                |
| Equity Accounts -                                                                 |         |  |          |                |
| Barnaby                                                                           |         |  | 120 ✓    |                |
| Collins                                                                           |         |  | 360 (1)  | 480            |
| Current Accounts -                                                                |         |  |          |                |
| Barnaby                                                                           |         |  | 5 ✓      |                |
| Collins                                                                           |         |  | 17 (1)   | 22             |
| <u>Reserves:</u>                                                                  |         |  |          |                |
| Revaluation Reserve                                                               |         |  |          | 30 (1)         |
|                                                                                   |         |  |          | 532            |
| Headings, labels, arithmetic and no extraneous (1)                                |         |  |          |                |

## ADDITIONAL GUIDANCE

MAX MARK 14

|                                       |     |
|---------------------------------------|-----|
| Equipment at cost                     | 160 |
| Less Equipment sold (at cost)         | 40  |
| Adjusted at cost value                | 120 |
| Prov for Depn of Equip @ 1 Jan Year 8 | 24  |
| Less Depn on Equipment sold           | 16  |
| Adjusted Prov for Depn                | 8   |
| Plus Depn for this year               | 24  |
| Agg Depn @ 31 Dec Year 8              | 32  |

If sale of equipment ignored, award aggregate depreciation of 56 consequentially (160/56/104)

1 mark for Closing Inventory and Cash and Cash Equivalents of 61

1 mark for Trade Receivables less Provision for Doubtful Debts

1 mark for Cash and Cash Equivalents adjustment of 20

1 mark for Trade Payables and VAT

|            |                                   |         |                 |          |
|------------|-----------------------------------|---------|-----------------|----------|
| 1. (b) (i) | Profit or Loss on Revaluation     |         |                 |          |
|            |                                   |         |                 |          |
|            | Delivery Vans - decrease in value |         | - 15,000        | (1)      |
|            | Equipment - increase in value     |         | 10,000          | (1)      |
|            | Revaluation Expenses              |         | - 7,000         | (1)      |
|            | <b>LOSS ON REVALUATION</b>        |         | <b>- 12,000</b> |          |
|            |                                   |         |                 |          |
|            | Share of Loss on Revaluation:     |         |                 |          |
|            | Barnaby (1/4 x - 12,000)          | - 3,000 | ✓               |          |
|            | Collins (3/4 x - 12,000)          | - 9,000 | (1)             | - 12,000 |

**MAX MARK** 4  
**ADDITIONAL GUIDANCE**

1 mark for both share of loss calculations

|             |                         |     |     |  |
|-------------|-------------------------|-----|-----|--|
| 1. (b) (ii) | Fletcher                | 20% | ✓   |  |
|             | Barnaby (80% x 120/480) | 20% | ✓   |  |
|             | Collins (80% x 360/480) | 60% | (1) |  |

**MAX MARK** 1  
1 mark for all 3 percentages

1. (c) **Disadvantages of admitting a new partner.**  
 There may be an increase in disagreements/disputes.  
 It leads to a reduced share of profits.  
 The actions of the new partner are binding on the original partners.  
 It may lead to slower decision making.

**MAX MARK** 1  
1 mark for any suitable disadvantage

2. PART A

| Overhead Analysis Sheet ✓ |                    |          |         |  |         |                  |
|---------------------------|--------------------|----------|---------|--|---------|------------------|
| 2.A (a)                   | Base               | Total    | Dept X  |  | Dept Y  | Dept Z           |
| Indirect Labour           | Allocated          | 32,000   | £8,320  |  | £7,680  | £16,000 (1 line) |
| Supervision               | No of employees    | 20,000   | £10,000 |  | £8,000  | £2,000 (1 line)  |
| Rent and Rates            | Area               | 48,000   | £24,000 |  | £16,000 | £8,000 (1 line)  |
| Power Costs               | Kw Hours           | 16,000   | £8,000  |  | £6,000  | £2,000 (1 line)  |
| Insurance of Machinery    | Value of Machinery | 5,000    | £2,600  |  | £2,000  | £400 (1 line)    |
| Heat and Light            | Area               | 8,400    | £4,200  |  | £2,800  | £1,400 (1 line)  |
| Admin Costs               | No of employees    | £40,000  | £20,000 |  | £16,000 | £4,000 (1 line)  |
|                           |                    | £169,400 | £77,120 |  | £58,480 | £33,800          |

MAX MARK 7

ADDITIONAL GUIDANCE

1 mark for heading and Indirect Labour

If Direct Materials are included, do not award first available mark

If arithmetic error in departmental totals, do not award first available mark in 2.A (a)

|         |                           |      |  |             |             |
|---------|---------------------------|------|--|-------------|-------------|
| 2.A (b) | Reapportionment of Dept Z | Area |  | £20,280 (1) | £13,520 (1) |
|         | Total Overheads           |      |  | £97,400     | £72,000     |

MAX MARK 2

|         |                          |          |                          |         |                      |
|---------|--------------------------|----------|--------------------------|---------|----------------------|
| 2.A (c) | Dept X                   |          | Dept Y                   |         |                      |
|         | Total Overheads          | £97,400  | Total Overheads          | £72,000 |                      |
|         | Direct Materials         | £243,500 | No of Machine Hours      | 16,000  |                      |
|         | Overhead Absorption Rate | 40% (1)  | Overhead Absorption Rate | £4.50   | per machine hour (1) |

MAX MARK 2

If % or £ not shown, do not award 1 mark

|         |                        |              |                        |             |
|---------|------------------------|--------------|------------------------|-------------|
| 2.A (d) | Direct Materials       | £256,000     | Machine Hours          | 14,000      |
|         | Overhead Recovery Rate | 40%          | Overhead Recovery Rate | £4.50       |
|         | Overheads Absorbed     | £102,400 (1) | Overheads Absorbed     | £63,000 (1) |
|         | Actual Overheads       | £96,000      | Actual Overheads       | £68,000     |
|         |                        | £6,400 (1)   |                        | -£5,000 (1) |
|         | Over absorbed          |              | Under absorbed         |             |

MAX MARK 4

1 mark for each overhead variance calculation and identification of over/under absorption

If overheads absorbed figure not based on overhead absorption rates calculated in 2.A (c), do not award marks

- 2.A (e) (i) Describe why some overhead costs can be allocated to departments, while others require to be apportioned to departments.  
Allocation of a cost occurs when overheads can easily be identified and traced to a specific department. (1)  
Apportionment of a cost occurs when the cost relates to the business as a whole, rather than individual departments. (1)

MAX MARK 2

- 2.A (e) (ii) Other methods of absorbing overheads.  
Rate per direct labour hour  
Rate per unit produced  
Rate as a percentage of direct labour  
Rate as a percentage of prime cost

MAX MARK 2

1 mark per correctly identified method  
Do not award factory-wide absorption rate



2. PART B

2.B (a) (i)

|                       | A   |         | B   |         | C   |         | Total |
|-----------------------|-----|---------|-----|---------|-----|---------|-------|
| Selling Price         |     | £114    |     | £105    |     | £110    |       |
| Raw Materials         | £20 |         | £25 |         | £15 |         |       |
| Labour                | £40 |         | £22 |         | £48 |         |       |
| Variable Overhead     | £12 | £72     | £8  | £55     | £8  | £71     |       |
| Contribution per Unit |     | £42 (1) |     | £50 (1) |     | £39 (1) |       |

(1 for line)

(1 for line)

**MAX MARK 5**  
**ADDITIONAL GUIDANCE**

If incorrect figures used for variable overheads, do not award first Contribution per Unit mark

2.B (a) (ii)

|                    |  |            |  |            |  |            |              |
|--------------------|--|------------|--|------------|--|------------|--------------|
| Number of Units    |  | 4,855      |  | 5,560      |  | 4,260      |              |
| Total Contribution |  | £203,910 ✓ |  | £278,000 ✓ |  | £166,140 ✓ | £648,050 (1) |
| Less Fixed Costs   |  |            |  |            |  |            | £165,000 ✓   |
| Profit             |  |            |  |            |  |            | £483,050 (1) |

**MAX MARK 2**

1 mark for Fixed Costs and Profit

2.B (a) (iii)

|                          | A      |  | B      |  | C      |  | Total      |
|--------------------------|--------|--|--------|--|--------|--|------------|
| Total Raw Materials:     |        |  |        |  |        |  |            |
| Raw Materials per unit   | 4      |  | 5      |  | 3      |  |            |
| Number of units          | 4,855  |  | 5,560  |  | 4,260  |  |            |
| Total Raw Materials (kg) | 19,420 |  | 27,800 |  | 12,780 |  | 60,000 (2) |

**MAX MARK 2**

All or nothing

2. PART B

2.B (b) (i)

|                                                   | A               |                 | B              |              | C          |  |              |
|---------------------------------------------------|-----------------|-----------------|----------------|--------------|------------|--|--------------|
| Year 2 Raw Materials Available                    |                 |                 |                |              |            |  | 51,000       |
| Existing Contribution per Unit                    | £42.00          |                 | £50.00         |              | £39.00     |  |              |
| Less Increase in Raw Materials Costs              | £2.00           |                 | £2.50          |              | £1.50      |  |              |
| New Contribution per unit                         | £40.00 (1)      |                 | £47.50 (1)     |              | £37.50 (1) |  |              |
| Number of kg                                      | 4               |                 | 5              |              | 3          |  |              |
| Contribution per kg                               | £10.00          |                 | £9.50          |              | £12.50 (2) |  |              |
| ORDER OF PRIORITY                                 | 2               |                 | 3              |              | 1          |  |              |
|                                                   |                 |                 |                |              |            |  |              |
|                                                   |                 |                 |                |              |            |  |              |
| <b>Allocation of Raw Materials</b>                | <b>No of kg</b> | <b>Total kg</b> | <b>Balance</b> | <b>Units</b> |            |  |              |
| Raw Materials Available                           |                 |                 | 51,000         |              |            |  |              |
| Allocate Product C                                | 3               | 12,780          | 38,220         | 4,260 ✓      |            |  |              |
| Allocate Product A                                | 4               | 19,420          | 18,800         | 4,855 (1)    |            |  |              |
| Units Possible of Product B                       | 5               | 18,800          | 0              | 3,760 (1)    |            |  |              |
|                                                   |                 |                 |                |              |            |  |              |
|                                                   |                 |                 |                |              |            |  |              |
| 2.B (b) (ii) <b>Profit Maximisation Statement</b> | <b>A</b>        |                 | <b>B</b>       |              | <b>C</b>   |  | <b>Total</b> |
| Units produced                                    | 4,855           |                 | 3,760          |              | 4,260      |  |              |
| Contribution per unit                             | £40.00          |                 | £47.50         |              | £37.50     |  |              |
| Total Contribution                                | £194,200 ✓      |                 | £178,600 ✓     |              | £159,750 ✓ |  | £532,550 (1) |
| Less Fixed Costs (add £10,000)                    |                 |                 |                |              |            |  | £175,000 ✓   |
| <b>TOTAL PROFIT</b>                               |                 |                 |                |              |            |  | £357,550 (1) |

MAX MARK 8

**ADDITIONAL GUIDANCE**

If new Contribution per Unit has not been calculated, therefore Contribution per kg, order of priority and quantity of each product to be produced is based on original Contribution per Unit figures, max 5 marks

Award 2 marks for all 3 correct, 1 mark for any 2 correct  
Do not award if contribution per labour hour is calculated

1 mark for Product C and Product A allocations

MAX MARK 2

2. PART B

2.B (c)

**Factor when deciding to accept or reject a Special Order.**

Does it increase or decrease the profit?

Is there spare capacity in the factory?

Is the contribution for the special order higher than the item with the lowest contribution per limiting factor?

Does the Special Order make a contribution to Fixed Costs?

Does the spare capacity need to be used for normal production?

Could accepting the special order lead to an increase in future regular contracts?

MAX MARK 2

Any one point for 1 mark

3. (a)

| STEVENSON MANUFACTURING PLC                                   |        |  |         |
|---------------------------------------------------------------|--------|--|---------|
| Manufacturing Account for the year ended 31 December Year 5 ✓ |        |  |         |
|                                                               | £000   |  | £000    |
| Opening Inventory of Raw Materials                            |        |  | 60 ✓    |
| add Purchase of Raw Materials                                 |        |  | 110 (1) |
|                                                               |        |  | 170     |
| less Closing Inventory of Raw Materials                       |        |  | 52 (1)  |
| <b>Cost of Raw Materials Consumed ✓</b>                       |        |  | 118     |
| <b>add Direct Costs</b>                                       |        |  |         |
| Production Wages                                              | 50 ✓   |  |         |
| Royalties                                                     | 30 (1) |  | 80      |
| <b>Prime Cost ✓</b>                                           |        |  | 198     |
| <b>add Factory Overheads</b>                                  |        |  |         |
| Rent ((140/14*12) (1) x 50% (1))                              | 60     |  |         |
| Factory Repairs                                               | 20 ✓   |  |         |
| Factory Cleaning                                              | 15 (1) |  |         |
| Insurance ((25+5) (1) x 2/3 (1))                              | 20     |  |         |
| Salaries (120 x 3/5)                                          | 72 (1) |  |         |
| Heating & Lighting (80 x 3/4)                                 | 60 (1) |  |         |
| Depreciation: Factory Machinery (150 - 30) x 20%              | 24 (1) |  | 271     |
|                                                               |        |  | 469     |
| add Opening Inventory of work in progress                     |        |  | 78 ✓    |
|                                                               |        |  | 547     |
| less Closing inventory of work in progress                    |        |  | 60 (1)  |
| <b>Factory Cost of Production ✓</b>                           |        |  | 487     |
| Profit on Manufacture                                         |        |  | 113 (1) |
| <b>Market Value of Finished Goods</b>                         |        |  | 600     |

MAX MARK

13

## ADDITIONAL GUIDANCE

1 mark for Opening and Closing Inventory of Raw Materials

If direct costs or factory overheads are deducted but indicated as added, treat as arithmetical error

1 mark for Factory Repairs and Factory Cleaning

If factory overheads are subtracted, award marks where possible and do not award Profit on Manufacture

1 mark for both opening and closing inventories of work in progress

3. (b)

| Income Statement for the year ended 31 December Year 5 ✓                  |      |  |         |        |
|---------------------------------------------------------------------------|------|--|---------|--------|
|                                                                           | £000 |  | £000    | £000   |
| Sales Revenue                                                             |      |  |         | 900 ✓  |
| less Sales Returns                                                        |      |  |         | 30 (1) |
| Net Sales Revenue                                                         |      |  |         | 870    |
| <b>Less Cost of Sales</b>                                                 |      |  |         |        |
| Opening Inventory of Finished Goods                                       |      |  | 20 ✓    |        |
| add Purchases of Finished Goods                                           |      |  | 50 ✓    |        |
| add Carriage In of Finished Goods                                         |      |  | 15 (1)  |        |
|                                                                           |      |  | 85      |        |
| add Market Value of Finished Goods                                        |      |  | 600 (1) |        |
|                                                                           |      |  | 685     |        |
| less Closing Inventory of Finished Goods                                  |      |  | 18 (1)  |        |
|                                                                           |      |  | 667     |        |
| add Warehouse Heating and Lighting (80 x 1/4)                             |      |  | 20 (1)  |        |
| Cost of Sales                                                             |      |  |         | 687    |
| Gross Profit ✓                                                            |      |  |         | 183    |
| Headings, labels, arithmetic and no extraneous across both statements (1) |      |  |         |        |

MAX MARK 6

#### ADDITIONAL GUIDANCE

If any item repeated across both statements, do not award in correct statement

1 mark for Purchases and Carriage In

If Factory Cost of Production is included instead of Market Value, award 1 mark consequentially, provided it is the final figure shown in the Manufacturing Account

1 mark for opening and closing inventory of finished goods

#### 3. (c) Work-in Progress

Goods that are only part complete (at the beginning or end of the accounting period).

MAX MARK 1

#### 4. PART A

4.A (a)

|                                                                    |         |     |
|--------------------------------------------------------------------|---------|-----|
| Depreciation (Initial Investment - Residual Value)/Number of Years |         |     |
| (£400,000-£30,000)(1)/5 years                                      | £74,000 | (1) |

| YEAR           | CASH FLOW | DEPRECIATION | PROFIT   |
|----------------|-----------|--------------|----------|
| 1              | £115,000  | £74,000      | £41,000  |
| 2              | £104,000  | £74,000      | £30,000  |
| 3              | £95,000   | £74,000      | £21,000  |
| 4              | £90,000   | £74,000      | £16,000  |
| 5              | £85,000   | £74,000      | £11,000  |
| Total Profit   |           |              | £119,000 |
| Average Profit |           |              | £23,800  |

(1) FOR ALL

#### ADDITIONAL GUIDANCE

1 mark for deduction, 1 mark for number of years and correct answer

MAX MARKS

3

4.A (b) (i)

#### ACCOUNTING RATE OF RETURN

|                | PROJECT X | PROJECT Y |
|----------------|-----------|-----------|
| 1              | £41,000   | £34,000   |
| 2              | £30,000   | £26,000   |
| 3              | £21,000   | £19,000   |
| 4              | £16,000   | £12,000   |
| 5              | £11,000   | £4,000    |
| Total Profit   | £119,000  | £95,000   |
| Average Profit | £23,800   | £19,000   |
|                | £400,000  | £420,000  |
|                | 5.95%     | 4.52%     |

x 100 (1)

(1)

1 mark for both percentages

MAX MARKS

3

4.A (b) (ii)

#### PAYBACK

| PROJECT X                     | £400,000   |                      |
|-------------------------------|------------|----------------------|
| YEAR                          | CASH FLOW  | CUMULATIVE CASH FLOW |
| 1                             | £115,000   | £115,000             |
| 2                             | £104,000   | £219,000             |
| 3                             | £95,000    | £314,000             |
| 4                             | £90,000    | £404,000             |
| 5                             | £85,000    |                      |
| £400,000 - £314,000 = £86,000 |            |                      |
| 3 years                       | £86,000    | (1) x 365            |
|                               | £90,000    | (1)                  |
|                               | 348.777778 |                      |
| 3 years 349 days              | (1)        |                      |

| PROJECT Y                     | £420,000  |                      |
|-------------------------------|-----------|----------------------|
| YEAR                          | CASH FLOW | CUMULATIVE CASH FLOW |
| 1                             | £110,000  | £110,000             |
| 2                             | £102,000  | £212,000             |
| 3                             | £95,000   | £307,000             |
| 4                             | £88,000   | £395,000             |
| 5                             | £80,000   | £475,000             |
| £420,000 - £395,000 = £25,000 |           |                      |
| 4 years                       | £25,000   | (1) x 365            |
|                               | £80,000   | (1)                  |
|                               | 114.0625  |                      |
| 4 years 115 days              | (1)       |                      |

MAX MARKS  
ADDITIONAL GUIDANCE

6

Days must be rounded up to be awarded final 2 marks

4.A (c) Accounting Rate of Return

**Advantages**

It is easy to understand and simple to calculate. (1)

It draws attention to the overall profit. (1)

It is compatible with a similar accounting ratio. (1)

**Disadvantages**

Profit for the year can be subject to different variations. (1)

The timings of the cash inflows are ignored (1) which ignores the time value of money. (1)

No guidance is given as to what is a good acceptable rate of return. (1)

The benefit of high profits in the early years is not accounted for. (1)

Where time scales are different, this method is unreliable. (1)

ARR is not suitable for comparing projects with different investment amounts. (1)

**MAX MARKS 2**

**ADDITIONAL GUIDANCE**

1 mark for any advantage

1 mark for any disadvantage

4. PART B INVENTORY RECORD CARD - MATERIAL L8 (AVCO) ✓

| DATE   | DETAILS         | RECEIPTS |        |           | ISSUES |        |           | BALANCE |        |           |      |
|--------|-----------------|----------|--------|-----------|--------|--------|-----------|---------|--------|-----------|------|
|        |                 | QTY      | PRICE  | VALUE     | QTY    | PRICE  | VALUE     | QTY     | PRICE  | VALUE     |      |
| 01-Apr | Opening Balance |          |        |           |        |        |           | 250     | £16.00 | £4,000.00 | *(1) |
| 03-Apr | Purchases       | 200      | £16.45 | £3,290.00 |        |        |           | 450     | £16.20 | £7,290.00 | (1)  |
| 09-Apr | Issue           |          |        |           | 300    | £16.20 | £4,860.00 | 150     | £16.20 | £2,430.00 | (1)  |
| 14-Apr | Purchases       | 350      | £16.60 | £5,810.00 |        |        |           | 500     | £16.48 | £8,240.00 | (1)  |
| 17-Apr | Issue           |          |        |           | 250    | £16.48 | £4,120.00 | 250     | £16.48 | £4,120.00 | (1)  |
| 21-Apr | Return          |          |        |           | 100    | £16.60 | £1,660.00 | 150     | £16.40 | £2,460.00 | (1)  |

**MAX MARKS 6**

**ADDITIONAL GUIDANCE**

\*1 mark for correct heading and opening balance.

Heading must include 'Inventory Record Card' and the item of inventory (Material L8). The business name is not required.

If the date or details column is not included or incorrect, do not award the first available mark.

[END OF MARKING INSTRUCTIONS]